

CHIEF INVESTMENT OFFICE

Capital Market Outlook

October 5, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—Stronger Growth, Costlier Money: Revised government data show the U.S. economy has accelerated despite the tariffs and oil shocks. Real gross domestic product (GDP) growth was revised up, and, given modestly higher labor input, productivity is expected to show even stronger growth than has been reported. High operating leverage alongside strong productivity has benefited corporate profits. Following methodological changes, “core” personal consumption expenditures (PCE) inflation momentum declined over the past three months. Still, while inflation sensitive to labor market conditions eased further, unresolved upside pressures on “acyclical” inflation from diesel shortages and rising freight costs threaten to keep overall inflation elevated. The rise in bond yields appears caused by a mix of stronger growth and higher premium for inflation as well as government debt funding pressures—a less favorable combination for risk assets than if rising U.S. productivity alone were lifting the neutral interest rate.

Market View—Yields, Yen and Iran: What Haunts the “House”: A weaker yen, rising Treasury yields and the drawn-out conflict with Iran are all moving counter to Treasury Secretary Scott Bessent’s policy goals. While the summer intervention helped stabilize the yen, its appreciation has been modest and dependent on further intervention/action from the Bank of Japan (BoJ). At the same time, Treasury yields have climbed sharply across the curve, with the MOVE Index subject to the velocity of the bond market repricing.

Abroad, geopolitical risks remain elevated. Delays in reopening the Strait of Hormuz and disruptions to Russian refining capacity have kept energy markets tight, particularly in diesel. Despite these headwinds, our outlook remains constructive. Ultimately, the backstop for the markets is the corporate sector’s ability to deliver on earnings into 2027.

Thought of the Week—When It Comes to Attracting Foreign Capital, the U.S. Remains Exceptional: And the money keeps coming: Both portfolio and foreign direct investment (FDI) inflows are running at record levels this year, a dynamic that speaks to 1) the attractiveness of U.S. assets and 2) the U.S. economy as a place to do business. Global investors invested some \$942 billion (B) in net purchases of U.S. Equities in the 12 months to July, the highest rolling 12-month total on record. In Q2, net purchase of U.S. Equities soared to \$426B, up 62% from the same period a year ago. Meanwhile, foreign multinationals invested some \$240B into the U.S. in the first six months of this year. That is a staggering 103% jump from a year ago; FDI inflows are on track for a record year, estimated at \$480B for 2026.

AUTHORS

Chief Investment Office
Macro Strategy Team

Lauren Sanfilippo
Director and Senior Investment Strategist

Joseph Quinlan
Managing Director and Head of Market Strategy

[MACRO STRATEGY ►](#)

[MARKET VIEW ►](#)

[THOUGHT OF THE WEEK ►](#)

[MARKETS IN REVIEW ►](#)

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as “MLPF&S” or “Merrill”) makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation (“BofA Corp.”). MLPF&S is a registered broker-dealer, registered investment adviser, Member [SIPC](#) and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value
----------------------	-------------------------	----------------

Please see last page for important disclosure information.

9155634 10/2026

Stronger Growth, Costlier Money

Chief Investment Office, Macro Strategy Team

The latest GDP report and annual revisions show a sturdier U.S. economy than previously reported. According to the Bureau of Economic Analysis (BEA), real GDP grew at a 2.2% annualized pace in Q2 compared to 1.5% previously estimated, and Q1 was revised from 2.1% to 2.5%. Both 2024 and 2025 were also revised slightly higher. Most of the first half of the year revision was in categories related to the Artificial Intelligence (AI) buildout, but real consumer spending has also been revised slightly higher, accelerating from 0.7% annualized growth in Q1 to 3.8% in Q2 despite surging energy prices and slow hiring.

Spending in July and August remained much stronger than labor market conditions alone would suggest, also averaging 3.7% annualized growth. Upside revisions to net interest income and personal saving suggest households have benefited from more income than was previously apparent, with personal saving revised higher back to 2023. The new data, according to the BEA, show the January to July 2026 savings rate averaged 4.8% versus 3.3% prerevision, strengthening consumer spending underpinnings despite moderate hiring, high energy prices and rising borrowing costs.

The BEA update also included inflation methodological changes related to categories inflated by the AI boom—such as portfolio management fees and computer software and accessories. These improved the inflation picture to some extent—August “core” PCE inflation was reduced by 0.3 ppts to 3% YoY, bringing it closer to “core” consumer price index inflation, which was 2.5% YoY and 2% on a three-month annualized basis. While still above the 2% Federal Reserve (Fed) target, “core” PCE now appears stable at 3% year over year since January rather than accelerating. These methodological changes are expected to dampen pass-through of AI-related price pressures into “core” inflation and effects of stock-market swings on inflation.

They also produced an encouraging improvement in recent PCE inflation momentum. Three-month annualized “core” PCE inflation slowed from 4.3% at the peak of tariff effects in February to 2.1% in August. For durable goods, this rate was down from 5.8% in February to 1.5% in August, and, for services ex-energy and healthcare, it slowed from 4.2% to 2.2%, for example. Inflation is volatile on a three-month change basis, so it remains to be seen whether this moderation continues without further Fed tightening.

For now, the trends in the San Francisco Fed’s cyclical versus acyclical inflation measures diverged again in August. As expected, given softening wage growth, prices most sensitive to the labor market have eased further. At 3% YoY, this inflation category is down from 8% in early 2023 and 4.6% two years ago is back to prepandemic levels and is likely to ease more (Exhibit 1A). In contrast, supply bottlenecks, high energy prices and other industry-specific factors have kept acyclical inflation on an uptrend. As shown in Exhibit 1B, the relentless increase in freight costs could prolong upside pressure on this category.

The diesel market has tightened in recent months, boosting its price by 70% YoY, consistent with Brent oil at around \$200 per barrel and large reverberations across a wide swath of goods and services prices. A government-policy-related decline in available truck drivers is also raising transportation costs more than expected. So are tight ocean shipping capacity and longer/more expensive voyages due to the U.S./Iran War. Supply-chain stress also increased as companies rushed to front-run potential new tariff increases.

On the positive side for the inflation outlook, unit labor costs (ULC) are up modestly as robust productivity growth has absorbed much of the wage growth, limiting a major source of domestic inflation. Upside productivity growth revisions are likely to further reduce ULC, which could help shift focus from energy and AI-related inflation to eventual disinflationary effects once oil and refined fuel prices start to ease. Sustained productivity gains would support growth and margins while limiting inflation and the need for much higher interest rates.

Investment Implications

We favor selective Equity exposure to companies with durable demand and pricing power, while remaining cautious about businesses most exposed to fuel, freight, and financing costs. We would also gradually increase long-duration exposure.

Surging nominal growth has boosted corporate revenues (up 13% YoY in Q2, according to the BEA) while contained unit labor costs helped raise margins and profits more than expected. With labor costs declining as a share of revenues, investment-related tax incentives and rock-bottom net interest expense, pre-tax nonfinancial corporate profits as measured in GDP accounts rose 21% YoY in Q2. Total corporate profits after-tax were up 18.2% YoY, according to the BEA.

Surging AI-related imports and investment are keeping the business and profits cycle on an uptrend both here and abroad. According to BofA Global Research, the global economic cycle backdrop improved further in September, as reflected in a broad-based increase in its Global Wave¹ indicator. Broadening U.S. manufacturing strength, fueled by ongoing AI-driven investment, a healthier orders backlog and low inventories suggest that the expansion has room to run—a constructive environment for earnings. Typically, a Global Wave upswing is consistent with rising earnings revisions ratios and equity price uptrends. According to the Global Wave, global earnings growth expectations remain exceptionally strong.

Still, absent a resolution of war-related energy and transportation disruptions, the same industrial strength intensifies inflation pressures. A prolonged supply shock raises the risk of restrictive interest rates and weakening economic growth. In this context, the surge in the 10-year Treasury yield above 5% is starting to reflect more than optimism about U.S. growth and strengthening productivity outlook. Oil's tightest recent correlation with 10-year Treasury yields in 35 years suggests a common energy-price thread behind rising yields in developed countries.

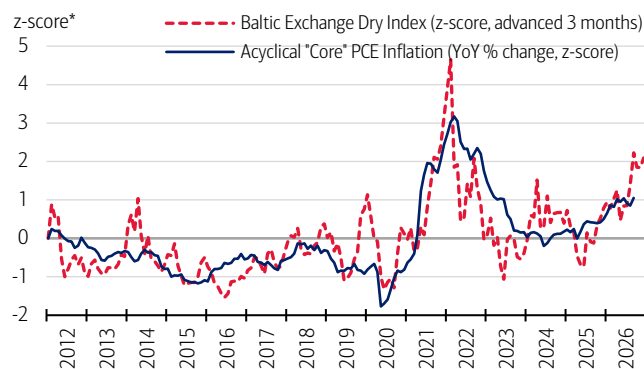
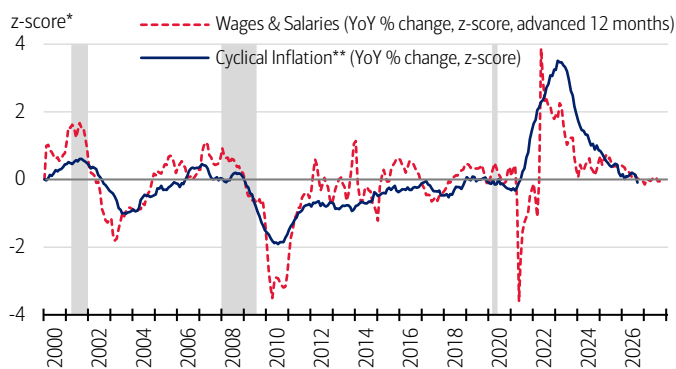
Bond market spillovers from normalizing Japan yields and capital repatriation are another common thread. Higher yields on foreign sovereign bonds such as in Japan—which has escaped stagnation and deflation by intensely pursuing investment-led growth—weakens the relative appeal of Treasuries. That distinction matters for portfolios. A yield increase driven mainly by durable productivity gains would come with a stronger outlook for future income and earnings. A yield increase driven by cost shocks and greater uncertainty raises financing costs without the same benefit.

In sum, the economy remains more resilient than expected, but the bond market is also charging more for an uncertain inflation outlook given untethered government debt and cooling global demand for Treasuries spurred by geopolitical tensions and Japan capital repatriation. The case for much further tightening becomes stronger if wage growth strengthens, productivity lags, and unit labor costs reaccelerate, causing cyclical inflation to also pick up steam. The case becomes weaker if that measure stays contained while fuel and freight pressures recede or rising Treasury yields reduce asset prices and economic growth.

Exhibit 1: Softer Cyclical/Higher Acyclical Inflation Keeps “Core” PCE at 3% Year Through August.

A) Cooling wage pressures ease cyclical inflation (housing, food services and accommodation, etc.).

B) Surge in U.S. AI-related imports, tariff front-running, shipping disruptions and fuel-price spike feed acyclical inflation.



*Z-score = number of standard deviations from the mean of a data set. **Inflation driven by wage growth and unemployment gap. Exhibit 1A) Source: Bureau of Economic Analysis; San Francisco Federal Reserve/Haver Analytics. Data as of September 30, 2026. Exhibit 1B) Source: Baltic; San Francisco Federal Reserve/Haver Analytics. Data as of September 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

¹ BofA Global Research Global Wave is an indicator that quantifies global economic trends, and it is used to forecast stock market performance.

Yields, Yen and Iran: What Haunts the “House”

Lauren Sanfilippo, *Director and Senior Investment Strategist*

Joseph Quinlan, *Managing Director and Head of Market Strategy*

We recently highlighted the three-front challenge facing Treasury Secretary Scott Bessent: engineering a stronger yen, containing the 10-year Treasury yield and securing a diplomatic resolution to the conflict with Iran.

Bessent recently has delivered one of the year’s more memorable lines while discussing Treasury policy and the yen: “I have asymmetric information. I am the house now.”² Yet several challenges remain: the 10-year Treasury yield is near levels last seen in the early 2000s, the yen remains structurally weaker, and a phased agreement to reopen the Strait of Hormuz appears remote. The resulting strain on energy markets keeps inflation risks elevated.

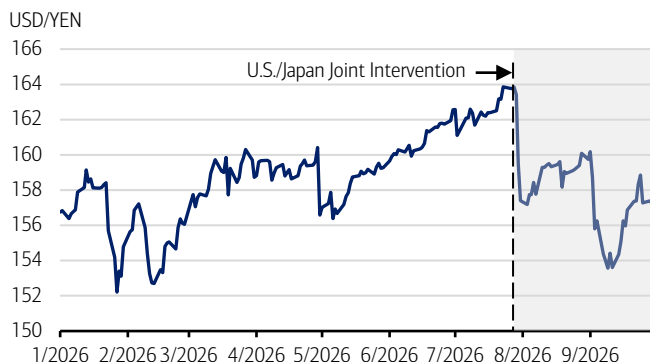
Put differently, oil prices, Treasury yields and the dollar-yen exchange rate are all trending against Bessent’s objectives. Below, we examine how each variable is haunting his “house.”

Haunting the “House” is the Yen. Since the U.S. and Japan mounted a record \$98.7B coordinated intervention in late July after the yen weakened to a 40-year low near 164 per dollar, the currency has appreciated roughly 4% against the dollar. The move was further supported on September 18 when the BoJ raised rates by 25 basis points (bps) to 1.25%, their highest level since the mid-1990s (Exhibit 2A). However, the split 7–2 vote and Governor Ueda’s limited forward guidance leave the path of further tightening uncertain. The key question is whether additional BoJ hikes can produce sustained appreciation in the yen, or merely reinforce the temporary relief provided by the summer intervention.

Bessent, meanwhile, has repeatedly signaled his preference for a stronger yen. Partly because yen stability is also a U.S. financing concern. Persistent currency weakness could prompt Japan to support its currency by selling foreign assets, including U.S. Treasuries—which would be an unwelcome prospect as Washington partially relies on foreign capital flows to fund its large fiscal deficits. That potential “haunts” the Treasury Secretary. At precisely the moment Washington needs foreign capital to finance its enormous fiscal deficits, it would be inopportune for one of America’s largest creditors to become a significant seller of Treasury securities.

Exhibit 2: Charting the “Yentervention” and U.S. Treasury Yields Surge Across the Curve.

A) The Yen Regains Some Strength.



B) 5-Year Forward Yields Hold Above 5%.

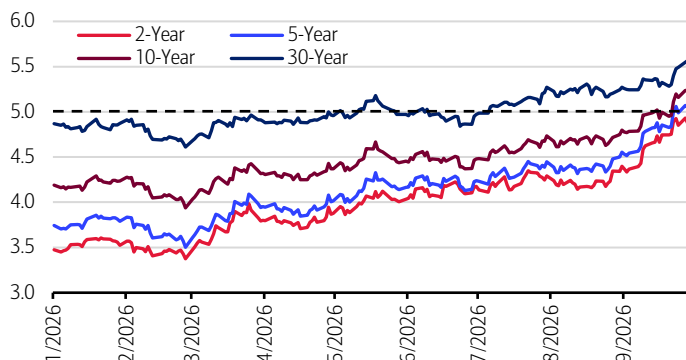


Exhibit 2A) Source: Bloomberg. Data as of September 30, 2026. Exhibit 2B) Source: Bloomberg. Data as of September 30, 2026.

Haunting the “House” are Yields. The surge in yields runs counter to a White House intent on lowering borrowing costs. The benchmark 10-year yield has broken above the 5% threshold and climbed to levels not seen since 2007. At around 5.30%, it stands more than a full percentage point above where it began the year (Exhibit 2B). The level is striking but so is the speed of the move: Stronger-than-expected economic data, including a survey showing U.S.

Investment Implications

While some key variables are complicating the macro backdrop (i.e., higher-for-longer yields/oil) the combination of strong earnings growth, robust consumer demand (real final sales to private domestic purchasers grew at 4.6% for Q2) and ongoing capital investment suggests that the fundamental backdrop for U.S. Equities remains constructive.

² September 8, 2026.

business activity expanded at the fastest pace in more than five years, helped trigger an 18 bps surge in the 10-year yield—among its largest daily moves in decades. The 5-year yield also topped 5% for the first time since 2007, while the 30-year yield reached 5.63%, its highest level since 2002.

Compounding the move is inflation, running above the Fed’s 2% target for 67 months, large fiscal deficits and the prospect of continued growth in Treasury issuance. Against this backdrop, Treasury bought back \$4.1 billion of long-dated debt, versus a maximum of \$6 billion. That effort has done little to arrest the selloff. A subsequent auction priced nearly \$4 billion of 7-year notes at 5.085%, the highest yield for that maturity in 33 years.

All in, the MOVE index, a key gauge of Treasury market volatility, jumped from 78 to 95 on Wednesday September 23 and then to 104 the following day, its highest level since the early days of the Iran war (Exhibit 3A).

Haunting the “House” is the Iran conflict. Early expectations that military pressure and economic sanctions would quickly bring Iran to the negotiating table have yet to materialize. Iranian officials have signaled that a full reopening of the Strait of Hormuz remains unlikely while sanctions stay in place. Although talks between Washington and Tehran are continuing, conflicting signals and lingering skepticism from both sides have kept tensions elevated. As a result, oil prices have remained elevated in a range even as some Middle East supply disruptions began to ease.

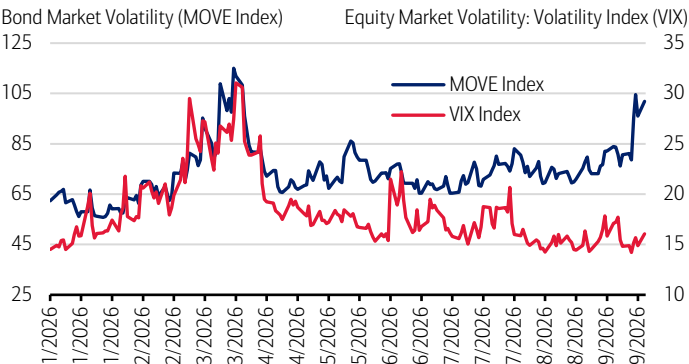
Startling is that Brent crude is up more than 60% this year, but refined product prices have risen even faster. Ongoing disruptions to energy flows through the Strait of Hormuz, combined with Ukrainian strikes on Russian refining infrastructure have tightened global supplies of crude oil and refined fuels. Saudi Arabia has restored some drone-disrupted flows, providing roughly 3.5 million barrels a day of relief (roughly 3% of global consumption).

The squeeze is mostly acute in diesel markets, where inventories remain constrained and prices continue to climb (Exhibit 3B). U.S. diesel prices recently surpassed \$6.50 per gallon, the highest level on record, just as Russia has extended restrictions on diesel exports into October. Against this backdrop, proposals to ban U.S. fuel exports risks worsening the imbalance. According to S&P Global, an export ban could reduce refinery runs by nearly 2 million barrels per day and significantly cut gasoline production, potentially driving gasoline and jet fuel prices even higher. As long as tensions persist, the oil impulse remains a key impediment to structurally lower inflation.

Investment implications. Treasury Secretary Bessent increasingly sits at the intersection of monetary policy, fiscal policy, foreign policy and national security. We remain constructive on the U.S. economy and overweight U.S. Equities but are watching as these fronts challenge the narrative. There is a great deal riding on the “house” versus the key macro variables of today.

Exhibit 3: Pulse Check on: Equity/Bond Volatility and Diesel/Gasoline Prices.

A) Bond and Equity Market Volatility Diverge.



B) Pain at the Pump: Diesel Prices Surge Ahead of Gasoline.

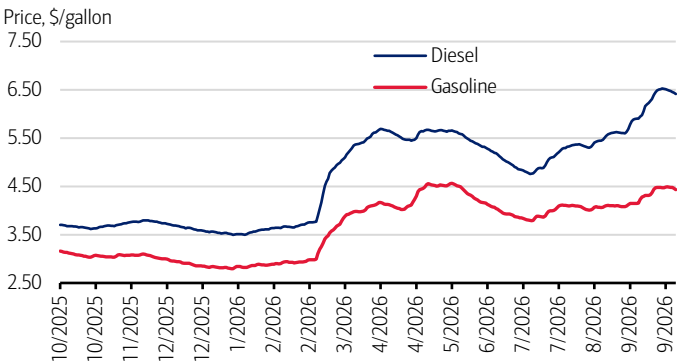


Exhibit 3A) Source: Bloomberg. Data as of September 22, 2026. Exhibit 2B) Source: Bloomberg. Data as of September 25, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

When It Comes to Attracting Foreign Capital, the U.S. Remains Exceptional

Joseph Quinlan, Managing Director and Head of Market Strategy

There may be no better vote of confidence in a country than the willingness of foreigners to put their money there. And by that measurement, the U.S. remains the exception—both portfolio and FDI inflows are currently running at record highs based on the latest data. This dynamic is one key reason why we remain constructive on U.S. assets over the longer term.

Notwithstanding all the handwringing about America’s fiscal deficits, tariffs and rising government debt, global investors sunk some \$942B in net purchases of U.S. Equities in the 12 months to July, the highest rolling 12-month total on record. In Q2, net purchase of U.S. Equities soared to \$426B, up 62% from the same period a year ago (Exhibit 4A). By country, flows were down from China—not surprisingly—but strong from Taiwan and South Korea, who have taken to recycling their massive AI-generated trade surplus back into the U.S. In the end, strong portfolio inflows suggest that international investors remain willing to increase their exposure to the world’s largest capital market—that’s bullish for U.S. assets.

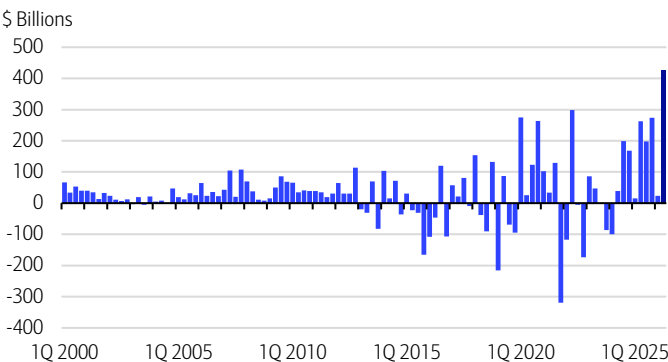
Meanwhile, Exhibit 4B highlights the growing push among foreign multinationals to be inside the U.S., with FDI inflows totaling nearly \$240B in the first six months of this year. That is a staggering 103% jump from a year ago and means FDI inflows are on track for a record year, estimated at \$480B for 2026.

There are multiple factors behind surging inflows: One, due to rising U.S. trade protectionism, foreign multinationals increasingly want to be “inside” the U.S. economy, not outside. Two, within the \$32 trillion-plus economy with extraordinarily consumer purchasing power, foreign firms prefer to be closer to their customers via investment than just trade (exports). Three, America’s massive investment cycle in AI, data centers, semiconductors, power generation, etc., has created numerous potential investment opportunities for many foreign firms that don’t want to miss out on America’s surging capex cycle. Four, and finally, abundant energy supplies, deep capital markets and a highly developed technological ecosystem have also induced more FDI inflows.

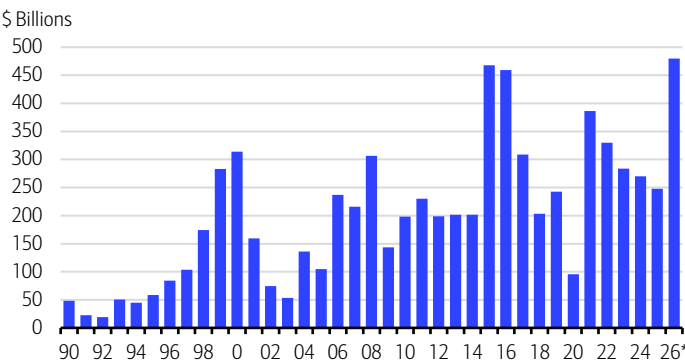
In the end, double-barreled capital inflows speak to the absolute and relative attractiveness of the U.S. economy and capital markets. Stay invested in America—the rest of the world is.

Exhibit 4: U.S. Exceptionalism: Record Inflows of Portfolio and FDI Inflows.

A) Net Foreign Purchases of US Equities and Investment Funds.



B) FDI Inflows to the U.S.



*Annualized. Exhibit 4A) Source: U.S. Bureau of Economic Analysis. Data as of September 24, 2026. Exhibit 4B) Source: U.S. Bureau of Economic Analysis. Data as of September 24, 2026. **Past performance is no guarantee of future results.**

Investment Implications

Foreign investors remain keen on owning and being “inside” the U.S. That is bullish for U.S. securities, both near-term and long-term.

Equities

Equities	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	51,176.96	-1.3	0.5	7.8
NASDAQ	27,190.86	0.5	1.2	17.5
S&P 500	7,722.72	-0.2	0.9	13.8
S&P 400 Mid Cap	3,668.01	0.6	2.0	12.1
Russell 2000	2,832.90	-0.1	1.3	15.2
MSCI World	4,926.25	-0.6	0.5	12.3
MSCI EAFE	3,095.35	-1.5	-1.0	9.3
MSCI Emerging Markets	1,708.91	-1.2	0.2	23.7

Fixed Income[†]

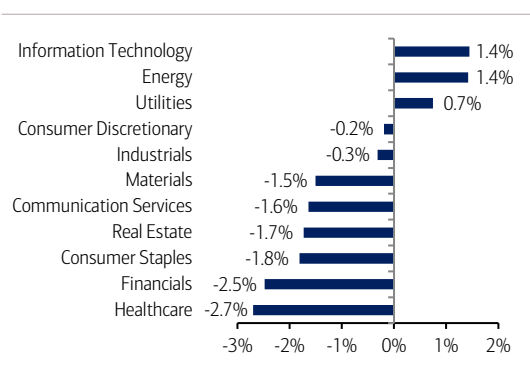
Fixed Income	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	5.44	-0.54	0.01	-2.83
Agencies	5.22	-0.25	0.05	-1.14
Municipals	4.63	0.45	1.02	-3.20
U.S. Investment-Grade Credit	5.56	-0.60	0.05	-2.86
International	6.05	-0.70	-0.01	-3.13
High Yield	8.29	-0.65	0.04	0.14
90 Day Yield	4.09	4.17	4.11	3.63
2 Year Yield	4.82	4.85	4.89	3.47
10 Year Yield	5.27	5.16	5.28	4.17
30 Year Yield	5.62	5.49	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Bloomberg Commodity	366.42	-1.9	-0.2	32.6
WTI Crude \$/Barrel ^{††}	91.11	-1.4	0.8	58.7
Gold Spot \$/Ounce ^{††}	4141.19	-3.4	-0.4	-4.1

Currencies	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.13	1.14	1.13	1.17
USD/JPY	157.85	157.28	157.41	156.71
USD/CNH	6.71	6.72	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/28/2026 to 10/2/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 10/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/2/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	2.4*	2.3	2.2	2.2
CPI inflation (% y/y)	2.7	3.8	3.4*	3.7	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.5*	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2*	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 2, 2026.
Sources: BofA Global Research; GWIM ISC as of October 2, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View				
	Underweight	Neutral	Overweight		
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Value	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies				●	
Private Equity				●	
Private Credit				●	
Real Assets					
Cash					

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

CIO Equity Sector Views

Sector	CIO View				
	Underweight	Neutral	Overweight		
Industrials	•	•	•	▶	●
Financials	•	•	•	▶	●
Healthcare	•	•	▶	●	•
Consumer Discretionary	•	•	●	◀	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	●	◀	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	●	◀	•	•	•

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

ICE BofA MOVE Index is a market-implied measure of U.S. bond market volatility.

Consumer Price Index measures the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

Baltic Dry Index is a daily shipping and trade index published by the Baltic Exchange in London that measures the cost of moving raw materials like iron ore, coal, and grain by sea.

Volatility Index (VIX) is a real-time market indicator that measures the stock market's expected volatility over the next 30 days.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.